

SUMMING UP

STRADDLE OPTION STRATEGIES

LONG STRADDLE

BUY

Buy ATM
call and
ATM put
option

Bought
together

Same
quantity and
strike price

Assumption :
high volatility

SHORT STRADDLE

SELL

Sell ATM
call and an
ATM put
option

Sold
together

Same
quantity and
strike price

Assumption :
low volatility